Capital

Creating a risk management plan is critical to preserving your startup trading capital. Before you start trading you should have a capital goal in mind. The equation below will help you derive the number of trades needed to generate your capital goal. Given, your trading system identifies trades/positions with positive expected return for every trade/position you enter. Also, it is crucial to take into consideration the trading style you plan to implement when creating a risk management plan. Whether you plan on scalping, intraday trading, swing trading, or mixing the styles together; it should be decided before moving forward.

Capital Goal = (Expected Return × Total Number of

Trades) For example, if I started trading

$100,000 = Expected Return x 253

$395.25 = Expected Return every trading day

Using the example from the video,

You have $5,500 of startup trading capital you want to triple (3X) which is a capital goal of $16,500 with a 2% risk exposure each trade **without compounding**, first thing you want to do is calculate your expected return for each trade; details on expected return in covered later in this section. For this example lets presume your trading system on average consistently generate $200 on every trade/position when you leverage your entire startup capital with a perceived risk to reward of 1:3. It will take approximately 55 trades to attain your capital goal. Now, there are about 253 trading days with-in a year. It really depends on the frequency of trades in your trading style and the quality of signals generated from your trading system that will determine whether your capital goal is realistically feasible.

Returns

Expected return on investment is gauged by the profitability of your trading system. Every trade you exercise should have a positive expected return. It is very important to note that there is no guarantee that the expected rate of return and the actual return will be the same. Your expected return will only be as good as the trading system you implement in your trading plan and your actual return will depend on how well the trade/position is actively managed & executed. A actual return is what objectively happened to the investment. Either you manually closed the position,

closed in profit via trailing stop, or lost the trade by getting stopped out. Again, for new traders you must first develop your trading system in order to back-test its profitability with past market data to generate hypothetical results you can use as a baseline.

Expected return is calculated as follows:

E = (**A**win x **P**win) – (**A**loss x **P**loss)

Awin — average size of a profitable trade.
Pwin — percentage of a winning trades among all trades.
Aloss — average size of a losing trade.
Ploss — percentage of a losing trades among all trades.

The difference between the expected return and the actual return is an Abnormal return. It may be either positive or negative; surely an abnormal return may be negative even if the actual return is positive. For example, suppose the expected return on an investment is 9% and the actual return is 5%. Even though you have 5% more than you had when you started, there is a negative abnormal return of -4%. On the other hand, if the expected return is 7% and the actual return is 8%, then there is a positive abnormal return of 1%.